

human advisor relative to a mechanical advisor because humans are more like us. Is this preference justified? Let's examine it more closely.

When we make a decision, we consider not only how we think about it analytically but also how we feel about it, which can skew how we assess its risks. If we have positive or favorable feelings about an activity, we tend to magnify its benefits in our minds and reduce its perceived riskiness. Conversely, if we have negative or unfavorable feelings, we tend to ascribe higher risks to it and lower benefits. This is known as the *affect heuristic*, since our “affect,” or the emotion we are feeling at the time, can influence our judgments. Although we often feel we are being rational in making our judgments, the affect heuristic influences us in profound ways that are directly related to our feelings, and not our rationality. This is not a good thing when it comes to making investment decisions.

But You Can Become a DIY Investor!

We have faith you can become a DIY investor. We simply want to point out some reasons, which lead to the status quo of outsourcing your investments – Fear of failure, Inertia, and Relationships.

Next we turn our attention to three mistakes that investors may make when they decide to go down the DIY route.

Three Reasons You Might Fail

Omitted Facts and Figures Mislead

“There are as many opinions as there are experts.”

—Franklin D. Roosevelt

Another reason we could fail to follow a DIY approach is that we have specific objections to some of the conclusions in this book. The allocations discussed could be insufficient, as these are not enough asset classes to provide appropriate diversification. Maybe we need 12, or 40, or 400. Or perhaps we believe that the road to wealth is to take a highly concentrated position in a few stocks, and just be sure that these stocks are bought with an adequate margin of safety. Maybe we should just hold dividend stocks, or stocks we “know” are high quality (Coca-Cola) or have huge growth